Scout AI Group

PROPOSAL · DRAFT FOR REVIEW

BCJS Operations Control System

One record from enquiry to final account. Native to Microsoft 365 and Xero. Prepared for Bespoke Construction & Joinery Solutions Ltd.

Client	Bespoke Construction & Joinery Solutions Ltd
For the attention of	Lucy Milne, Business Operations & Development Manager; Emma Milne
Prepared by	Stuart Arthur, Scout AI Group
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1. Executive summary

BCJS runs on Xero, Microsoft 365, spreadsheets and memory. The job is known well by the people on it. It is not known in one place. Overspends surface at the valuation, not the week they happen. Paperwork gaps surface on site, not before.

Scout will deliver the BCJS Operations Control System: one project record from enquiry to final account. Staff sign in with their Microsoft 365 accounts. Documents live in SharePoint. Approvals arrive in Teams. Approved costs flow into Xero without retyping. An AI layer drafts estimates, RAMS, site diaries and invoice entries for a person to confirm.

Delivery runs in seven releases over roughly eleven months. Each release is a point where the system is worth using, signed off when a real BCJS job passes through it in front of a witness.

There are two ways to buy it. Option 1: BCJS pays a fixed fee per release and owns the software and IP outright, £29,500 in total. Option 2: Scout owns and runs the platform; BCJS pays a £7,500 implementation fee and an £895 monthly licence that includes hosting, AI, support and every future release. Section 6 sets out both, with a three- and five-year cost comparison.

Both sit inside the budget BCJS has been quoted elsewhere. The difference is what the money buys: Microsoft 365 sign-in, SharePoint, Outlook and Teams built in, Xero integration, a site app that works with no signal, an AI layer, and a witnessed sign-off on every release. That is possible at this price because Scout delivers with 10×, our AI-native delivery system, rather than billing teams by the day.

2. Your context

2.1 What we heard

- Enquiries, tenders, orders and variations are tracked across email, Xero and spreadsheets. The process map exists; the system to enforce it does not.
- Committed spend is invisible until the invoice lands, so margin is known a month late.
- Sites are rural. Signal is poor. Anything that needs a connection on site will not be used.
- Heritage and listed work raises the bar on evidence: lime specifications, conservation correspondence, photographs and RAMS must be provably in place.
- The team wants a system that reflects how each department works, built with their input rather than handed to them.

2.2 What this proposal addresses

The full scope of the BCJS Build Programme (twenty sections, six releases), rebuilt on BCJS's own Microsoft 365 and Xero, with AI across the job lifecycle. A clickable prototype of the target experience is already available for the team to explore before anything is signed.

3. Approach

We do not sell hours. We scope outcomes, agree a fixed fee per release, and deliver using 10×, our AI-native delivery system. How we deliver is our business. What we deliver is yours.

RELEASE	OUTCOME	INDICATIVE DURATION
R0 Discovery & design	Department workshops, cost codes and approval limits agreed, Kabyn and Briefcase audited, prototype refined	3 to 4 weeks
R1 Hold real work	Platform live on Microsoft 365 sign-in, roles, audit trail, stage gates, SharePoint document register	6 to 8 weeks
R2 Win work	Enquiry to quote to award in the system; quotes sent from Outlook; client acceptance via Acrobat Sign	8 to 10 weeks
R3 Start properly	Compliance registers, RAMS, budget baseline; nobody on site until the readiness checklist passes	5 to 6 weeks
R4 Control cost & cash	Orders, Xero integration, invoice scanning, time, CVR and a 13-week cash forecast	10 to 12 weeks
R5 Finish & get paid	Snagging, handover packs, final account and retention	5 to 6 weeks
R6 Learn & harden	Win/loss reporting, notifications, GDPR tooling, Copilot agent, penetration test	5 to 6 weeks

Durations are indicative and confirmed at the end of R0. Releases can overlap where dependencies allow. Cost codes and approval limits are needed during R2.

4. Scope and deliverables

Each release ends on a witnessed sign-off: a real job passes through it end to end, without anyone opening a spreadsheet or the database. Anything not listed is out of scope and handled through a signed change note.

DELIVERABLE	DESCRIPTION	ACCEPTANCE
D1 Platform	Hosted in the UK, Microsoft 365 single sign-on, role-based access, append-only audit, versioned documents in SharePoint	Each role signs in with M365 and sees only what its permissions allow; audit answers "who changed this"
D2 Win work	Enquiry pipeline, site survey on a phone, estimating with rate card, quotes and client responses, award gate	An enquiry becomes a won job with budget carried, no retyping
D3 Start properly	Supplier and subcontractor register, certification and insurance expiry, RAMS, readiness checklist	A job with lapsed insurance cannot start without a recorded override
D4 Cost & cash	POs with approval bands, goods receipt, AI invoice scanning, Xero bills and payments, time, CVR, cash flow with scenarios	An approved bill reaches Xero coded to the job; the cash forecast moves the day a PO is approved
D5 Site app	Installable web app for site managers and subcontractors that works with no signal	Time, photos and diary captured offline sync when signal returns
D6 Close-out	Snagging, handover packs, final account, retention alerts, estimate against final	A job cannot close with critical snags or an unaccepted pack
D7 AI layer	Ask BCJS assistant, estimating and RAMS drafting, dictated diary, invoice extraction; every output confirmed by a person	Each feature meets its agreed accuracy bar on real BCJS examples before release
D8 Handover	Training for office and site, admin guide, runbooks, assurance pack	BCJS administrators run user and role changes without Scout

4.1 Out of scope

- Replacing Xero as the accounting ledger. Xero stays the ledger.
- Microsoft 365 licence changes, device management and email migration. Scout will advise on licence level in R0.
- Migration of historic closed jobs beyond the live projects and current-year estimates.
- Hardware such as NFC tags or tablets.

5. Governance, assurance and evidence

Governance is not a workstream added at the end. Each gate produces the artefacts an auditor, insurer or client asks for, as a by-product of delivery.

GATE	CONTROL	EVIDENCE PRODUCED
Gate 01 Scope and risk	UK GDPR data protection impact assessment, ICO registration check, processor agreements (Microsoft, Xero, Adobe, AI provider)	DPIA, processing register, decisions register
Gate 02 Build and test	Server-side permissions, tenant isolation tests, money handled in whole pence, AI outputs confirmed by a person	Test reports, change log, AI evaluation results
Gate 03 Live and assure	Monitoring and alerting, tested backups, penetration test before money flows (R4), NCSC Cloud Security Principles, Cyber Essentials Plus alignment	Monitoring plan, restore rehearsal record, pen test report, named owner

6. Commercials

Two options. Both deliver the same system on the same timetable. They differ in who owns the software and how it is paid for. BCJS owns its data under both, always.

6.1 Option 1: BCJS owns the software and IP

Fixed fee per release. On payment of each release, the IP in the software built for BCJS is assigned to BCJS. Code lives in a BCJS GitHub organisation and runs in BCJS's own Azure tenant. BCJS can take it to any supplier.

RELEASE	BASIS	FEE
R0 Discovery & design	Fixed fee	£2,500
R1 Hold real work	Fixed fee	£4,500
R2 Win work	Fixed fee	£5,500
R3 Start properly	Fixed fee	£3,000
R4 Control cost & cash	Fixed fee	£7,500
R5 Finish & get paid	Fixed fee	£3,000
R6 Learn & harden	Fixed fee	£3,500
Total build	Fixed fee	£29,500
Support & maintenance (optional, from go-live of R6)	Monthly retainer	£295 per month
Hosting, AI usage and third-party subscriptions	Paid by BCJS direct, at cost	Estimated £150 to £350 per month

- Each release is invoiced 40% at start and 60% on witnessed sign-off.
- Support retainer covers security patches, platform updates, the Xero and Microsoft API changes that keep integrations working, UK business-hours support, and up to half a day a month of small enhancements.
- Scout keeps ownership of its pre-existing tools and components, licensed to BCJS perpetually and royalty-free as part of the system.

6.2 Option 2: Scout owns the platform; BCJS licenses it

Lower upfront cost. Scout hosts, runs, supports and improves the platform. BCJS pays an implementation fee to set it up around how BCJS works, then a monthly licence. Improvements Scout makes for the wider construction product reach BCJS at no extra cost.

ITEM	BASIS	FEE
Implementation: discovery, configuration to BCJS processes, Microsoft 365 and Xero connection, data migration, training	Fixed fee	£7,500
Licence: all modules R1 to R6 as they release, unlimited BCJS staff and subcontractor users, UK hosting, AI usage within fair use, support and updates	Monthly, from R1 go-live	£895 per month
Initial term	36 months from R1 go-live, then rolling 12 months	Annual uplift capped at CPI
Optional buy-out at the end of the initial term	Perpetual licence and source code for BCJS's own instance	£15,000

- Implementation is invoiced 50% on signature and 50% at R1 go-live. The licence is billed monthly in advance.
- BCJS data is BCJS's. It can be exported at any time in open formats, and is returned in full on exit.
- Source code is held in escrow with an independent agent, released to BCJS if Scout ceases to trade or fails to support the platform.
- Fair use for AI covers typical SME volumes, for example up to 500 document extractions and 1,500 assistant questions a month. Scout will agree a usage review if volumes exceed this.

6.3 Comparing the options

MEASURE	OPTION 1: BCJS OWNS	OPTION 2: LICENCE
Cost in the first 12 months	£32,295	£16,450
Cost over 3 years	£45,375	£37,930
Cost over 5 years	£58,455	£59,410
Who owns the software	BCJS	Scout (buy-out available)
Who runs and patches it	Scout under retainer, or any supplier	Scout, included
Future product improvements	Commissioned separately	Included
Best for	BCJS wants an asset it controls long term	BCJS wants lower upfront spend and a managed service

Comparison assumptions: R1 goes live in month 3 and R6 in month 11. Option 1 includes the optional support retainer from month 12 and running costs at an estimated £250 a month from month 3. Option 2 licence runs from month 3 with no uplift applied. All fees exclude VAT. Option 2 costs less for roughly the first five years; after that Option 1 costs less, and it leaves BCJS owning the asset throughout.

- Fees are exclusive of VAT and any pre-agreed travel.
- No variation to fee or scope takes effect without a change note signed by both parties.

7. Assumptions and dependencies

REF	ASSUMPTION OR DEPENDENCY	OWNER
A1	A Microsoft 365 Global Admin grants app consent and provisions a shared estimating mailbox within 10 working days of R1 start	BCJS
A2	Xero adviser access and consent to connect the BCJS organisation by R4 start	BCJS
A3	A named process owner per department joins R0 workshops and each release sign-off; Lucy Milne is product owner	BCJS
A4	Cost code structure and approval limits agreed during R2	BCJS
A5	Microsoft 365 licence level confirmed in R0; Teams channels per project may need Business Standard or above	BCJS
A6	Live project and current-year estimate data available for migration in usable form (Excel or export)	BCJS
D1	Xero and Microsoft API terms and pricing remain available on current terms	Third party

8. Team

NAME	ROLE	COMMITMENT
Stuart Arthur	Engagement lead and product owner for Scout	Throughout, weekly with BCJS
Scout delivery team	AI-native engineering, design and test using 10×	Per release
Scout assurance lead	Security, data protection and release sign-off	At each gate
Lucy Milne (BCJS)	Product owner, release signatory	Weekly review, sign-offs
BCJS department leads	Process owners: commercial, finance, site, H&S	Workshops and witnessed sign-offs

9. Next step

Explore the prototype with the team and log feedback against each screen. Then choose an option. We start R0 with a half-day session on BCJS's real jobs, so the team experiences the system working on their own work rather than hearing it described.

To proceed, confirm your preferred option by reply and we will issue the engagement letter within two working days.

Acceptance

FOR BESPOKE CONSTRUCTION & JOINERY SOLUTIONS LTD	FOR SCOUT AI GROUP
Option chosen	Option chosen
Signature	Signature
Name	Name
Role	Role
Date	Date